

JUDGMENT SHEET
LAHORE HIGH COURT LAHORE
JUDICIAL DEPARTMENT

E.F.A. No. 33799 of 2022

JUDGMENT

M/s Pride Associates (Pvt.) Ltd. etc.
VERSUS
JS Bank Ltd.

Date of hearing: 02.06.2022

Appellants by: Mr. Muhammad Asghar Khan, Advocate.

MUZAMIL AKHTAR SHABIR, J. Through this appeal, filed under Section 22 of Financial Institutions (Recovery of Finances) Ordinance, 2001 (“**the Ordinance**”), appellants have called in question order dated 25.04.2022 passed by Judge Banking Court No. VI, Lahore as Executing Court whereby application filed by the appellants under Section 47 and 151 of C.P.C. read with other enabling provisions of law has been dismissed. Through the said application, the appellants had prayed for declaring the consent decree as un-executable for the reason that a portion of decreed amount in the said decree was against the settled provisions of law.

2. The contention of learned counsel for the appellants is that the grounds of the application have not been given due consideration by the learned Executing Court while dismissing his application. We have heard this case in detail and gone through the record of the case with the able assistance of learned counsel for the appellants and at his request this appeal is treated as admitted case.

3. It is noted that recovery suit filed by the respondent bank bearing C.O.S. No. 136/2010 was decreed by learned Single Judge of this Court on 21.11.2011 for amount of Rs. 41,613,085/- along with costs and cost of funds against the appellants in favour of respondent bank, however, said decree was modified vide order dated 26.02.2014 passed in R.F.A. No. 1080 of 2011 whereby through settlement the

amount of Rs.73,980,651/-, due in terms of decree passed by learned Single Judge on the said date, was reduced to amount of Rs.46,700,000/-, which was then treated as due against the appellants in terms of agreement produced on record as Mark-A. Subsequently, when the appellants could not comply with the payment schedule mentioned in the afore-referred decree, the respondent bank claimed recovery of original agreed amount of Rs.73,980,651/- in terms of clause-III of the said agreement through the process of Court. At that stage, the appellants filed application before Executing Court requiring the respondent to explain the due amount by providing breakup of said amount. On provision of breakup of said amount, it transpired to the appellants that respondent bank has charged markup upon markup which, at the time of settlement, appellants claim to have thought was being charged as cost of funds and state that as markup upon markup is not permissible, agreement Mark-A and the decree passed thereon is liable to be modified accordingly.

4. This is 3rd application in the nature of objection petition filed by the appellants against execution of decree passed against them. On two previous occasions, appellants had claimed that they were not liable to pay Rs.73,980,651/- in terms of decree passed against them. Both the applications were dismissed by learned Executing Court and thereafter, appeals filed there-against bearing E.F.A. No. 52777 of 2019 and E.F.A. No. 13843 of 2020 were respectively dismissed by this Court on 14.02.2022 and 08.03.2022 wherein it was held that appellants were liable to pay amount of Rs.73,980,651/-. In this attempt, the appellants have challenged the execution of decree by claiming that amount settled through Mark-A (on the basis of which decree passed by learned Single Judge of this Court was modified by learned Division Bench of this Court in R.F.A. No. 1080 of 2011) was not due against appellants as markup had been charged over markup instead of cost of funds to reach amount of Rs.73,980,651/-, which application has been dismissed by the learned Executing Court and the instant appeal has been filed there-against, however, it is observed that while concluding the settlement agreement the due amount on the said

date as per decree of learned Single Judge was settled as Rs.73,980,651/- in clause-II of agreement Mark-A which with consent was reduced to Rs.46,700,000/- through clause-V of the agreement subject to condition that appellants will abide by the terms and conditions of agreement including the payment schedule which appellants failed to comply with and consequently in terms of clause-III of the agreement the original amount of Rs.73,980,651/- agreed between the parties revived as decretal amount in terms of order passed by Division Bench of this Court in R.F.A., which decree has attained finality, hence, the appellants at this stage are precluded from challenging the said amount after appellants have defaulted in payment of reduced amount as per schedule provided in Mark-A, more so on the ground that an Executing Court cannot go behind the decree. Reliance in this behalf may be placed upon judgments of Hon'ble Supreme Court of Pakistan reported as "*Irshad Masih and others versus Emmanuel Masih and others*" **2014 SCMR 1481** wherein it was held that Executing Court by creative interpretation cannot change decree; "*Muhammad Tariq Khan versus Khawaja Muhammad Jawad Asami and others*" **2007 SCMR 818** wherein it was enunciated that Executing court cannot deviate from real controversy; and "*Allah Ditta versus Ahmad Ali Shah and others*" **2003 SCMR 1202** wherein it was laid down that Executing court cannot challenge correctness of decree.

5. Even otherwise earlier two applications/objection petitions have been dismissed up to this Court vide orders dated 14.02.2022 and 08.03.2022 whereby Division Bench of this Court refused to interfere in the decretal amount determined by this Court in R.F.A. Subject to certain exceptions which are not available in the present case, filing of successive applications on the same subject matter even though on different grounds is not permissible under the law as the appellants were required to take all the grounds available to them at the time of filing first application and subsequent application after decision of earlier application on merits would be barred, *inter alia*, on the principle of res judicata. In this behalf, principles laid down in

judgments reported as “*Muhammad Boota and another Vs. Moor Begum and 2 others*” **PLD 2002 SC 74**; “*Subedar Muhammad Afzal Vs. Syed Nafis Ahmad and others*” **PLD 1962 Lahore 45**; and “*Haji Inayat Ali Vs. Haji Rehmat Ali and 16 others*” **2010 MLD 894** may be referred.

6. Moreover, even if there was some defect in calculation of the amount agreed to be paid by the appellants to respondent at the time of passing of consent decree, appellants cannot call the same in question on the ground that amount of markup over markup has been charged for the reason that appellants should have been careful while consenting to the amount determined in clause-II of the agreement as a consent decree cannot be further challenged after it had attained finality. Reliance in this behalf is placed on judgment reported as “*Muhammad Sarwar and others Vs. Mst. Razia Sultana and others*” **2022 SCMR 360**. Similarly in “*Ghulam Sarwar (deceased) through LRs and others Vs. Ghulam Sakina*” **2019 SCMR 567** the Hon’ble Supreme Court of Pakistan has laid down that judgment/order passed with the consent of the parties could not be challenged by any of the parties.

7. In view of the above, no ground is available to the appellants to challenge the decretal amount determined through consent decree and in the circumstances, the learned Executing Court has rightly dismissed the application/objection petition filed by the appellants which order does not suffer from any illegality, jurisdictional defect and is well reasoned, thus, does not warrant any interference by this Court. Consequently, this appeal is **dismissed** being devoid of merits.

(Abid Aziz Sheikh)
Judge

(Muzamil Akhtar Shabir)
Judge